EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Sta. Teresita was formerly known as barrio Namunit, the largest barrio of the Municipality of Buguey. It is located about 15 kilometers east of its mother town. It was created by virtue of Republic Act (RA) No. 3728, which was approved on June 22, 1963. It was inaugurated on August 27, 1963 as a regular Municipality. It has thirteen (13) barangays, with a total population of 16,578 and total household of 3,410. Its land area is approximately 16,698.93 hectares of plain, mountains and swampy lands rich with natural resources.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Sta. Teresita, Cagayan for CY 2024 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSAS), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Sta. Teresita, Cagayan for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Particulars	2024	2023	Increase/(Decrease) Amount
Financial Position			
Assets	379,817,749.35	474,027,212.20	(94,209,462.85)
Liabilities	77,774,674.14	33,566,473.16	44,208,200.98
Govt. Equity	302,043,075.21	440,460,739.04	(138,417,663.83)
Financial Performance			
Income	161,432,408.92	180,968,176.05	(19,535,767.13)
Expense	139,111,351.43	141,274,475.85	(2,163,124.42)
Net Income	22,321,057.49	39,693,700.20	(17,372,642.71)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2024, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Establishment of Multi-Purpose Center (Youth, Women and PDAO)	P1,498,312.38
Rehabilitation of Hanging Bridge in Aridowen Hanging Bridge	1,197,858.00
Upgrading of Road at St. Matthew St. Extension at Villa	1,998,009.34
Continuation of Road Opening of Buyun Farm to Market Road (FMR)	1,500,00.00
Upgrading of L. Florentino Street (Street Light & Road Expansion)	831,372.45
Construction of Elevated Water Tank and Appurtenances	999,026.20
Construction of Multi-Purpose Shed for the Handicrafts of Santa Teresita at Public Market	999,039.58
Total	**P9,023,617.95**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Sta. Teresita, Cagayan for the year-ended December 31, 2024 because the existence, accuracy and reliability of the Property, Plant and Equipment account totaling to P189,513,808.54 cannot be relied upon due to: a) non-recognition of the Public Market Lot and Buildings, with a carrying value of P39,432,500.00 in the PPE account; b) completed projects totaling to P1,257,444.70 were not recorded as PPE; and (c) non-conduct of physical count of Biological Assets amounting to P996,300.00, hence, affecting the fair presentation of the LGU's financial statements.

F. Summary of Significant Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Donations received for calamity assistance amounting to P10,374,500.00 were not recorded in the Trust Liabilities-DRRMF account, rather, it was recorded under the Due to NGAs and Due to LGUs accounts, hence, monitoring on the compliance on the intended purpose of the assistance may not be achieved.

We recommended that the Municipal Accountant properly record future financial assistance to be received under the Trust Liabilities-DRRMF account and ensure timely compliance or implementation of programs/purpose intended by the grant, pursuant to COA Circular 2014-002 dated April 15, 2014.

2. Procurement of petroleum fuel, oil and lubricants totaling P5,574,463.38 were paid to a single supplier without any contract, hence, there is no legally binding obligation between the LGU and the Supplier, as the terms and conditions to be undertaken by both parties are not well defined.

   We recommended that the Management follow the specific guidelines provided for Direct Retail Purchase of petroleum fuels, oils and lubricants in Section 53.14 and Annex H of the 2016 Revised Implementing Rules and Regulations of Republic Act No. 9184, specifically the execution of contract/agreement between the LGU and the supplier to warrant any damage/loss.

3. The LGU's Due to GSIS account, accumulated a balance of P1,035,434.56 as of December 31, 2024, despite the monthly remittance of mandatory deductions and loan amortizations, due to delays in updating of membership records in the GSIS database. This exposes the members to the risks of ineligibility to avail GSIS benefits or potential penalties on outstanding balance due to discrepancies in recorded loan payments.

   We recommended that the Management:

   A. Require the Municipal Accountant to conduct a detailed reconciliation of the Due to GSIS account to determine the correct breakdown of the unremitted balance and remit immediately the amount due to the GSIS, as a result of the reconciliation to avoid accumulation of unpaid premiums and/or loan amortizations;

   B. Direct the AAO and the Accounting Office to conduct dialogues with GSIS to clarify the reason of the delay in the update of the members' records;

   C. Require the AAO to upload the Membership updates within the same month that the changes occur, pursuant to Items D and C (2) of the GSIS Memorandum Circular No. 027, series of 2021; and

   D. Maintain Subsidiary Ledgers for proper monitoring and accurate recording of the Due to GSIS account.

Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the eight (8) audit recommendations in the CY 2023 Annual Audit Report, seven (7) were fully implemented, and one (1) was partially implemented.